Amendment of section 72AA.

15. In section 72AA of the Income-tax Act, with effect from the 1st April, 2026,—

(*i*) the following proviso shall be inserted, namely:—
"**Provided** that where any scheme of such amalgamation is brought into force on or after the 1st April, 2025, any loss forming part of the accumulated loss of the predecessor entity, being—
(*a*) the banking company or companies; or
(*b*) the amalgamating corresponding new bank or banks; or
(*c*) the amalgamating Government company or companies,
as the case may be, which is deemed to be the loss of the successor entity, being—
(*i*) the banking institution or company; or
(*ii*) the amalgamated corresponding new bank or banks; or
(*iii*) the amalgamated Government company or companies,
as the case may be, shall be carried forward in the hands of the successor entity for not more than eight assessment years immediately succeeding the assessment year for which such loss was first computed for original predecessor entity.";

(*ii*) in the *Explanation*, after clause (*vii*), the following clause shall be inserted, namely:—
'(*viii*) "original predecessor entity" means predecessor entity in respect of the first amalgamation.'.